Report – Finance Committee

City Fund 2026/27 Budget and Medium-Term Financial Plan

To be presented on Thursday, 5th March 2026

To the Right Honourable The Lady Mayor, Aldermen and Commons of the City of London in Common Council assembled.

SUMMARY

This report presents the overall financial position of the City Fund (i.e. the City Corporation's finances relating to Local Government, Police and Port Health services).

Following the Local Government Settlement on the 9 February 2026, whilst the medium-term outlook is balanced, there is fundamental uncertainty in core government funding from 2029/30 onwards which the City Corporation needs to address. Following considerable discussion with His Majesty's Government, a bespoke arrangement has been reached, recognising the unique circumstances of the City Corporation. This provides confirmed transitional funding for 2026/27, with indicative transitional allocations for 2027/28 and 2028/29, enabling a balanced position across the medium term. However, the relief provided, whilst addressing funding needs across the medium term, is purely transitional and the core government funding uncertainty remains. Addressing the longer-term arrangements will require both political advocacy for appropriate funding levels for the statutory services that are provided for London and nation and a radical approach to the services that the City Corporation provides from its local government fund.

To date, discussions with government have focused, and will continue to focus, on how the services that the City Corporation provides pan-London and Nation-wide, many under Statue, are to be financed – e.g. Port Authority, Animal Health & Welfare and grants to the London Museum, costs which would otherwise fall on other public bodies. Modelling indicates an additional c£39m p.a. — plus c£500m for forthcoming capital expenditure — is required for the City Fund to deliver these services at break even. The current funding formula does not capture the cost of delivering these services due to the unique nature of them to the City Corporation.

Government has also been clear that the City Corporation is expected to use its tax-setting flexibilities to meet the cost of services driven by substantial daily population and this report recommends both increases in council tax and the business rates premium accordingly. At the recent ratepayers' and residents meeting, proposals to increase the Business Rate Premium and Council Tax were presented, and no opposition was raised. While this will provide additional support for daytime population driven pressures, it will not close the funding gap in full.

The key immediate risk remains the fragility of the Housing Revenue Account and the Chamberlain's s25 report highlights that reserves are extremely low and has a key dependency on both the Housing Revenue Account (HRA) recovery plan and approval of the exceptional financial support requested from government to ensure compliance with regulations and statutory fiscal duties.

While the reset of the business rates system in 2026/27 may create opportunities for growth from 2027/28, it cannot be depended upon to fund ongoing business as usual service pressures, reinforcing the need to address the structural funding gap through radical decisions.

Priority decisions will be required by the City Corporation, including difficult choices about ceasing or scaling back certain activities, alongside a review of discretionary spending and service delivery models. In parallel, opportunities for efficiency gains, shared services, and digital transformation should be accelerated to reduce cost pressures and improve resilience.

On policing, the final settlement for 2026/27 was confirmed on 28 January 2026, following publication of the Government's White Paper on Police Reform, which sets out an ambitious reform programme for policing. The 2026/27 settlement provides only one-year funding, including funding for 13 additional Neighbourhood Police Officers under the Neighbourhood Policing Guarantee (NPG). Although the extra funding allocated to the NPG does not fully meet the associated cost increases, the frontloading of the three-year Spending Review settlement makes this this affordable in 2026/27. However, this approach increases financial risk in later years. The Force is also awaiting confirmation of grant funding for its national responsibilities in fraud, economic crime and cyber-crime, and this uncertainty continues to pose challenges for forward planning.

Table 1 in the main report section of this paper demonstrates the operational deficit when excluding transitional funding and Income and Expenditure (I&E) reserves begins at £13m and climbs to £23m by 2029/30. Delivering savings of £23m by 2029/30 is, therefore, crucial to supporting financial stability.

Options to stabilise the position

Your Finance Committee recommends a number of measures to stabilise the position in 2026/27 and the steps that will need to be taken over the medium-term, namely:

For 2026/27, your Finance Committee recommends the following:

- **Tax increases**:
  - Increase Adult Social Care precept by 2%, which raises £220k p.a. – in response to inflationary pressures.
  - Increase in core Council Tax by 2.99%, which raises £303k p.a. - to address pressures outlined in the report £3.5m.
  - Increase Business Rates Premium by 1p in the £, which raises c£21m p.a., with 0.4p in the £ allocated to Future Police Estate Programme (FPEP) and security pressures, essentially making Police and security spending self-contained; with the remainder allocated to support various services provide to the daily workforce population for e.g. street cleansing, waste disposal, environmental health.

- **Housing Revenue Account**

- Increase rents for social tenants within the Housing Revenue Account by 4.8%, in line with Government guidelines and approved by the Community and Children's Services Committee on 28th January 2026.
- Note that if Exceptional Financial Support of £2.6m is not granted, it will materially weaken the HRA and damage the ability of the City Corporation to improve compliance with housing regulations.

- **Cost pressures / one-off spends** addressed within resource envelope / added to MTFP, with exceptional items funded from underspends of approximately £31.2m projected to be carried forward from 2025/26 (including inflation contingency - paragraph 28).

- **Savings** – £13m savings to be delivered by 2027/28, on top of those already identified in paragraphs 73 – 76, with further targets totalling up to £23m by 2029/30.

Measures for stabilising the medium-term financial plan from 2027/28 onwards:

- **Holding reserves** to support the cliff-edge in 2029/30 and recommend how much is transferred to the operational property reserve.

- **Radical decisions** must be approached as a fundamental reset, not an incremental process – with work over the next 12 months to identify:
  - **Which services the City Corporation provides / prioritises as a local authority – Statutory vs Discretionary.** What we stop doing and where services should, be scaled back or redesigned.
  - **Whether City Fund can continue to fund national and pan-London services without full government support**.
  - New approach to savings - **a different approach to budget setting and governance, with clear corporate direction, stronger prioritisation and explicit trade-offs**.

- **Strategic options** will need to be considered in the absence of no core funding from government – this may involve proposals on the use of Business Rates Growth and the Mayor's Overnight Levy.

Capital - Business as usual

Turning to the capital position, increasing the 2026/27 capital programme envelope to £32m, with £22m transferred from 2025/26 windfall in income to advance the backlog of essential capital programmes.

Capital – Major projects

- The budgets for Major Projects have been updated to reflect recent decisions. (For further information please refer to Appendix F, Capital Strategy)
- Apply the increased income from the Business Rates Premium (BRP) multiplier (c£50m accumulated over the next four years) to fund qualifying court security expenditure, reducing reliance on City's Estate c£41m grant funding for the Courts build at Salisbury Square Development.
- A strategic long-term change to support using future unallocated BRP and multiplier increases as a long-term funding lever to build a security, Police,

justice and statutory services (for the Square Mile) reserve in support of estate renovations in 5-30 years' time.

- Address financing of future operational property by ring-fencing future business rates growth rather than relying on disposal of investment assets and losing income.

RECOMMENDATION

Following your Finance Committee's consideration of this City Fund report and appendices, the Court of Common Council is recommended to:-

1.0 Note and **approve** the overall budget envelopes for City Fund, including that:-

1.1 Additional funding is required to be **approved** for new on-going cost pressures and have been included as budget uplifts:

1.1.1 Net 3% inflation uplift to local risk budgets including pay, non-pay and income.

1.1.2 Contingency held centrally to support July pay award upon approval of Corporate Services Committee.

1.1.3 £112k p.a. for increased external audit fees

1.1.4 3% uplift amounting to £206k in relation to the Museum of London grant for 2026/27, to be reviewed and inflated annually.

1.1.5 3% uplift to the London Symphony Orchestra, £63k pa

1.2 Pension employer contributions: **Note** that the actuary has determined the appropriate level in conjunction with the Pensions Committee, and any adjustments arising from this decision should be adjusted in the 2026/27 final budgets.

1.3 **Approve** the identification of a minimum £13m cashable savings to be delivered by 2027/28, noting further savings will be required in future years.

1.4 **Approve** the application of transitional funding exclusively to address the funding gap for National, pan-London and day-time-population services for 2026/27, with the remaining balance transferred to the Transitional Funding Reserve.

1.5 Approve - New ongoing pressures identified through the budget-setting process and supported by Members: security related costs to be funded from retaining more of the Business Rates Premium - outlined in paragraph 26; other pressures highlighted under paragraph 27 are addressed through savings made elsewhere.

1.6 **Approve** one-off pressures and opportunities for transformation in 2026/27 as outlined in paragraph 28 to be funded from forecast carry forward underspends from 2025/26.

1.7 As in previous years, **approve** the earmarked security reserve retains £1m as a minimum and is reviewed regularly.

1.8 **Approve** the overall financial framework and the revised Medium-Term Financial Strategy (paragraphs 8 to 105).

1.9 **Approve** the City Fund Net Budget Requirement of £214.6m (Appendix A, paragraph 9).

2.0 **Medium Term Corporate Plan Alignment and Financial Sustainability** – Members are asked to note and **approve** the following recommendations:

2.1 Revenue: Additional resource requests and inflationary pressures: Going forward, assumptions include 2% from 2027/28 onwards plus additional costs included as recommended under recommendation 1.1 above.

2.2 Additional savings required £18m by 2028/29 and £23m p.a. by 2029/30.

2.3 Continue to leverage Government to secure government grants in relation to the funding gap for National and pan-London activities by 2029/30 c£39m p.a.

2.4 Use of Reserves:

2.4.1 Apply the use of I&E reserves to support deficits in years 2027/28 to 2029/30.
2.4.2 Apply the use of Transitional Funding Reserves to address the funding gap for National, pan-London and day-time-population services until 2029/30.
2.4.3 Note that in future years there will be an assessment of how much of the remaining £66m transitional funding is transferred to operational property reserve towards the capital renovations required.

2.5 For Cyclical Works Programme (CWP), Members are to Note:

2.5.1 In addition, to the approved back log of works, Court of Common Council in March 2023, approved ongoing budget of £15m p.a. split across City Fund and City's Estate from 2029/30 onwards to support ongoing works and avoid a backlog.
2.5.2 Funding for City Fund has been identified and allocated from reserves.

2.6 Major Projects:

2.6.1 Note - The budgets for Major Projects have been updated to reflect recent decisions.
2.6.2 Note - Measures to fund the Housing Revenue Account major repair programme have been agreed by Court of Common Council.
2.6.3 Approve the increase from the BRP multiplier to fund qualifying court security expenditure at Salisbury Square Development (SSD), reducing overall reliance on City's Estate grant to City

Fund by c£41m over the next four years in relation to the Courts build at Salisbury Square Development.

2.7 Approve the strategic long-term change to support using future unallocated BRP and increases from the multiplier as a long-term lever to build a security, Police, justice, and statutory services (for the Square Mile) reserve in support of estate renovations in 5-30 years' time.

Key decisions:

The key decisions are in setting the levels of Council Tax and National Non-Domestic rates:

3.0 **Council Tax and Housing and Council Tax Benefits** – paragraph 59

3.1 An increase of 2% social care precept, raising c£220k p.a. to address inflationary pressures.

3.2 An increase of 2.99% on core Council Tax raising c£303k p.a. to address pressures outlined under section 1.1 above.

3.3 To note if both increases are approved, the 4.99% increase will result in the Band D rate increasing from £1,102.82 to £1,153.18 (before GLA precept).

3.4 To retain a fully funded means tested council tax reduction scheme for those on low incomes who are least able to pay and providing continued support to vulnerable members of society.

3.5 Continuing the Local Discretionary discount for Care Leavers between the ages of 18 to 25 for 2026/27.

3.6 The current 100% discount awarded to unoccupied and unfurnished and uninhabitable dwellings is continued at zero (0%) for 2026/27.

3.7 Continuing the premium levied on long-term empty property of 100%, 200% and 300% on properties that have been empty for 1, 5 and 10 years respectively in 2026/27.

3.8 Maintain the Second Home Premium of 100% in 2026/27.

3.9 Determine that pensions received by veterans under the War Pension Scheme or War Compensation scheme are fully disregarded in the calculation of Housing and Council Tax Benefit.

3.10 It is recommended that, having regard to the government guidance issued, the Chamberlain be given the discretion, delegated to the Assistant Director, Financial Shared Services, to reduce or waive the long-term empty premium charge in exceptional circumstances.

3.11 Approve that the cost of highways, street cleansing, waste collection and disposal, drains and sewers, and road safety functions for 2026/27 be treated as special expenses to be borne by the City's residents outside the Temples (**Appendix B**).

4.0 **Business Rates and Business Rate Premium** – paragraphs 60-61

4.1 To approve an increase the Standard City Business Rate Premium from 0.022p to 0.032p. Setting the overall standard business rate multiplier as 0.512p

4.2 To approve an increase the Small Business City Premium from 0.020p to 0.029p, setting the overall small business multiplier as 0.461p

4.3 To note for every 0.1p increase in the £ - this raises c£2.1m, therefore an increase in Business Rates Premium by 1p in the £ (as per above) - raises £21m p.a.

4.4 Approve the application of the Business Rates Premium to include services provided to the daily workforce population of the square mile.

4.5 Award a Discretionary Discount under Section 47 of the Local Government Finance Act 1998 for qualifying Nursery Schools of up to 100%.

4.6 Delegate to the Chamberlain the award of discretionary rate reliefs under Section 47 of the Local Government Finance Act 1988 (**Appendix A**, paragraph 16).

5.0 **HRA Rent**

5.1 Approve an increase on rents for social tenants within the Housing Revenue Account by 4.8% for 2026/27, as supported by the Community & Children's Services Committee on 28th January 2026 in order to balance the HRA across the MTFP.

6.0 **Capital Expenditure**

6.1 Approve the Capital Strategy **(Appendix F).**

6.2 Approve the Capital budgets for City Fund, and the allocation of central funding from the appropriate reserves to meet the cost of 2026/27 (paragraphs 64 to 72).

6.3 Approve the Prudential Code indicators (**Appendix D**).

6.4 Authorise the Chamberlain to determine the final financing of capital and supplementary revenue project expenditure.

7.0 **Treasury Management Strategy Statement and Annual Investment Strategy 2026/27 (Appendix E)**

7.1 Approve the Treasury Management Strategy Statement and Annual Investment Strategy for 2026/27, including the treasury indicators – **Appendix E**.

7.2 Approve the authorised limit for external debt (which is the maximum the City Fund may have outstanding by way of external borrowing) at £356.4m for 2026/27; and the Minimum Revenue Provision (MRP) for 2026/27 at £1.4m for the main capital programme and an additional estimated MRP of £2.8m for the lessees following the implementation of IFRS 16, with the latter entirely funded through the lease payments (MRP policy is included within Appendix E – Treasury Management Strategy Statement and Annual Investment Strategy Statement 2026/27 - Appendix 2).

8.0 **Chamberlain's s25 Assessment**

8.1 Take account of the Chamberlain's assessment of the robustness of estimates and the adequacy of reserves and contingencies (paragraphs 94-97 and Appendices A, C and H respectively).

MAIN REPORT

Background

1.0 This report sets out the revenue and capital budgets for City Fund for the Court of Common Council to approve.

2.0 The budget setting process for 2026/27 and beyond began back in May 2025 with a series of officer-led star chamber meetings focusing on key pressure and opportunities across departments including the Barbican Centre, Environment, Community and Children's Services, and the Housing Revenue Account. These meetings reviewed pressures and potential savings within each service area. Several common pressure areas were identified, including London Living Wage increases, ongoing pressures from the 2025/26 period that may contribute, and impact on enabling services due to the scale of demand.

Economic Stability and Government Actions:

3.0 After a prolonged period of high inflation and economic volatility, national conditions are beginning to stabilise. The Consumer Price Index (CPI) is forecast to fall around 2.2% in 2026, providing some relief for households and public services. However, the impact of the recent inflationary spike remains embedded across wages, service contracts, and supply chains continuing to drive up public sector costs. Economic growth is projected to remain weak, with UK GDP expected to increase by only around 1.0% in 2026. This subdued environment, combined with rising demand for services such as housing, social care, and welfare support will continue to place pressure on local government finances.

4.0 There remains a notable degree of uncertainty and risk surrounding the economic forecast for 2026, influenced by a range of external and domestic factors. While the labour market has shown signs of softening, significant global events such as geopolitical tensions and economic policies in other countries contribute to pose potential economic instability. The impact could have a significant consequence on City Fund – increasing service pressures and demand; reduction in business rates; pressures on income streams; capital programme affordability.

5.0 Against this backdrop the planned changes to Local Government funding, the Final Local Government Funding settlement, released on 9th February 2026, confirms that the City Fund will receive three years of transitional support at the level sought by the City Corporation, though this remains subject to annual review and does not reflect assessment of core need. While this provides short-term stability, it defers significant underlying financial pressures, particularly given that business rates growth cannot be used to support day to day services and must instead be prioritised for addressing historic underinvestment in the operational estate. The City Corporation will, therefore, need to continue closing the structural financial gap to ensure long-term sustainability.

6.0 The Police Funding Settlement for 2026/27 was confirmed on 29 January 2026 and resulted in a one-year settlement including an increase of 13 Neighbourhood Police Officers as part of the Government's Neighbourhood Policing Guarantee (NPG). While the additional funding made available for the NPG does not cover the increase in cost, the frontloading of the 3-year Spending Review settlement enables it to be affordable in 2026/27 but will add risk in subsequent years. The City of London Police (CoLP) is still awaiting confirmation of grant funding for 2026/27 and beyond for its national work on fraud, economic and cyber-crime. This delay is creating significant challenges for planning in the context of the uncertainty and risk arising from the White Paper on Police Reform published on 26 January 2026, with which the CoLP and Police Authority Board are engaged jointly.

7.0 While individual budgets have undergone changes, some overarching messages from the 2025/26 MTFP remain consistent. Those being:

- City Fund is expected to fall into deficit within the MTFP period.
- The scale of the capital programme and major projects is placing significant pressure on the resources available.

Current Position

8.0 The Provisional Local Government Settlement announced on 17 December 2025 set out both the revised assessment of needs and indicated the City Corporation would receive a one-year funding settlement for 2026/27. Most significantly, the Government confirmed the reset of the funding system, including changes to central grant allocations and business rates redistribution. Under the revised needs assessment, the City Corporation's **central government funding falls sharply from £77m to £18m**, driven largely by deprivation-based metrics that do not reflect the significant impact of c680,000

daily commuters. During the consultation period, the Corporation was formally recognised as requiring a bespoke funding arrangement due to its unique operating context. As a result, the Final Local Government Settlement released on 9th February introduced a shift in funding certainty. The Corporation has been awarded a three-year transitional settlement in line with other Local Authorities. This provides confirmed transitional funding for 2026/27, with indicative transitional allocations for 2027/28 and 2028/29.

9.0 While this extended transitional relief is good news, it **only offers short-term stability** it does not resolve the longer-term challenge. A substantial funding cliff-edge remains from 2029/30 onwards, when transitional support ends, leaving the financial outlook uncertain if the current funding formula continues to underpin allocations beyond this point. Continued lobbying with the Ministry of Housing, Communities and Local Government (MHCLG) will therefore be essential to confirm the indicative allocations and establish a sustainable long-term funding position beyond the current spending period.

10.0 To date, discussions with government have focused on, and will continue to focus on, how the services that the City Corporation provides for pan-London and Nation-wide, many under Statue, are to be financed – e.g. Port Authority, Animal Health & Welfare and grants to the London Museum, costs which would otherwise fall on other public bodies. Modelling indicates an additional c£39m p.a. — plus c£500m for forthcoming capital expenditure — is required for the City Fund to deliver these services at break even. The current funding formula does not capture the cost of delivering these services due to the unique nature of them to the City Corporation.

11.0 Government has also been clear that the City Corporation is expected to use its tax-setting flexibilities to meet the cost of services driven by substantial daily population. At the recent ratepayers' meeting, proposals to increase the Business Rate Premium were presented, and no opposition was raised. While this will provide additional support for daytime population driven pressures, it will not close the funding gap in full.

Financial Challenges:

12.0 Whilst this report focuses on budget setting for 2026/27, substantive financial challenges lay in using the transitional funding period to 2028/29 to establish a sustainable ongoing budget against a backdrop of reduced funding. Transitional relief provided during 2026/27 to 2028/29 totals c£150m but needs to be held to smooth projected deficits and capital pressures rather than committed for individual projects. Despite this transitional funding, the underlying principle remains that governments assessment of needs for the City Corporation is far lower than current funding required for the services it delivers and generates significant uncertainty for our local authority services and those provided for pan-London and Nation-wide within City Fund.

13.0 Significant work and resources have been dedicated to the Housing Revenue Account (HRA) as part of 2026/27 budget setting. This includes £152m of Capital Funding resources from City Fund, as well as a request for Exceptional

Financial Support (EFS) for a £2.6m capitalisation direction to strengthen the HRA's financial position in 2026/27, which is yet to be confirmed. These measures reflect the scale of intervention required to address structural challenges within the HRA. Without these measures, in the short term, the HRA remains under significant pressure and fiscal sustainability is extremely fragile. The Chamberlain's s25 report highlights that the HRA Reserves are extremely low and a key dependency on the success of the HRA recovery plan to avoid breaching statutory fiscal duties.

14.0 The MTFP is framed on a prudent basis assuming the indicative figures provided within the Final Local Government Settlement for 2027/28 and 2028/29 in core grant and transitional relief will remain unchanged. As each year is subject to a separate consultation process, there is a chance these figures will change in February 2027. City Fund (excluding Police) is projected to move into a deficit of £2.6m in 2028/29, increasing to £47.9m in 2029/30. However, when removing transfers to police and for SSD and FPEP, a deficit of £13.0m begins in 2027/28, increasing to £18.0m in 2028/29 and £62m (of which £39m relates to National and pan-London with £23m relating to business-as-usual activities) from 2029/30 onwards. This is set out in table 1 below. This reflects the assumption that transitional relief is being used to support the residual gap on services relating to national and pan-London functions for the next three years, and services relating to daytime population for the next four years. This deficit therefore represents the level of savings required across all other services provided under City Fund. However, this report recommends utilising transitional relief alongside I&E surplus reserves to address these deficits over the medium-term. It further proposes a specific allocation of transitional relief to be reserved for operational property renovations. The surplus arising in 2025/26 provides scope to balance the position in both 2027/28 and 2028/29, mitigating the short-term pressure. While reserves offer short-term flexibility, usable reserves are forecast to reduce sharply over the MTFP period and cannot provide a sustainable solution to addressing ongoing structural revenue pressures.

15.0 While the reset of the business rates system in 2026/27 may create opportunities for growth from 2027/28, it is anticipated that the Greater London Authority will retain approximately one-third of any additional income generated under its current agreement. In addition, Government has indicated an intention to undertake further resets of the system, which is likely to happen between three to six years, limiting the period over which the City can retain any gains. When combined with the inherent constraints on growing business rates and property values within a highly developed and geographically fixed area, this significantly restricts the City's ability to rely on business rates growth as a sustainable funding source. As a result, business rates growth cannot be depended upon to fund ongoing business as usual service pressures, reinforcing the need to address the structural funding gap through radical decisions.

16.0 The changes to local government funding and business rate retention mean that the previously established '8 Authority Pool' will cease to operate after 2025/26. This arrangement is forecast to generate £17.5m for City Fund in 2025/26, and as it has always been treated as one-off funding and not used to support business as usual, there is no impact on future year forecasts.

17.0 Priority decisions will be required by the City Corporation, including difficult choices about ceasing or scaling back certain activities, alongside a review of discretionary spending and service delivery models. In parallel, opportunities for efficiency gains, shared services, and digital transformation should be accelerated to reduce cost pressures and improve resilience. In addition, following the steer from the Resource Allocation Sub Committee meeting with Service Committee Chairs, income raising proposals for City Fund are recommended via Business Rates Premium and Council Tax in addition to radical thoughts required for setting 2027/28 budgets and beyond.

18.0 The City of London Police has also developed its MTFP on a prudent basis, with the position for 2026/27 broadly balanced through productivity improvements and efficiency measures designed to absorb increasing demand within the existing envelope. Based on current indications from the Home Office that funding uplifts in years two and three of the MTFP are likely to be significantly lower – as indicated by Treasury. The plan assumes the need for additional recurrent savings of approximately 1% p.a. to maintain a balanced position, before taking account of any further cost pressures that may arise from policy changes, demand growth or risk to funding of its national responsibilities.

19.0 The medium-term financial outlook, separating the impact of proposed tax increases, is summarised in table 1 below:

Table 1: City Fund five-year outlook

(Surplus)/Deficit	**2025/26 £'m**	**2026/27 £'m**	**2027/28 £'m**	**2028/29 £'m**	**2029/30 £'m**
City Fund (surplus)/deficit	**(77.0)**	**(16.4)**	**20.6**	**24.9**	**70.2**
City of London Police (surplus)/deficit	0.0	0.0	0.0	0.0	0.0
[1]Proposed funding changes	0.0	(22.3)	(22.3)	(22.3)	(22.3)
City Fund (surplus)/deficit	**(77.0)**	**(38.7)**	**(1.7)**	**2.6**	**47.9**
Transfer to police reserves	0.0	1.1	1.1	1.1	1.1
Use of BRP to fund FPEP	6.8	13.6	13.6	14.3	12.6
City Fund incl. Police (surplus)/deficit (exc. Drawdown on reserves)	**(70.2)**	**(24.0)**	**13.0**	**18.0**	**61.6**
Drawdown from Reserves			(13.0)	(18.0)	(61.6)
City Fund Inc. Police (surplus)/deficit (inc. Drawdown from reserves)	**(70.2)**	**(24.0)**	**0**	**0**	**0**
[2]General Fund Reserve – working capital	(20.0)	(20.0)	(20.0)	(20.0)	(20.0)
[3]Business Rates Risk Reserve	(16.9)	(1.9)	(1.9)	(1.9)	(1.9)
[4]Major Project Financing Reserve	(140.0)	(74.0)	(53.4)	(16.3)	(6.2)
[5]Cyclical Works Programme Reserve	(55.9)	(39.8)	(27.7)	(10.3)	(2.8)
[6]Climate Action Reserve	(5.7)	0.0	0.0	0.0	0.0
[7]Transitional Reserve	0.0	(77.7)	(101.1)	(120.6)	(66.1)
[8]Operational Property Reserve	0.0	0.0	(7.7)	(38.1)	(77.2)
[9]I&E Reserve	(20.0)	(44.3)	(32.3)	(15.5)	0.0

[1]Proposed funding changes include tax rises on council tax at 4.99% and business rate premium at 1p in the £
[2]General fund reserve maintained at minimal prudent amount for working capital.

[3] Business Rate Risk Reserve held to help smooth the timing differences of business rate income hitting the general fund
[4]Major project financing reserve includes: adjustments for financing the revenue element of major projects which is not included in the deficit/surplus,
[5]Cyclical Works Programme Reserve includes ring-fenced funds to support the essential funding needed on backlog and forward plan over 5 years from 2025/26 and included in the surplus/deficit.
[6]Climate Action Reserve includes adjustments for financing the revenue element of climate action and savings from climate action and similar programmes.
[7] Transitional Funding Reserve – To hold balances of transitional funding to cover national, pan-London, plus the gap on daytime population services not funded through updated formula
[8] Operational Property Reserve – built up from new business rate growth to support capital requirements on operational property renovations.
[9] I&E Reserve held to smooth budget surplus / deficits in future years from 25/26 surpluses

20.0 City Fund (including Police) is balanced over the medium-term financial plan (MTFP), taking one year with the next, with a surplus of £94.2m, of which £65.3m is proposed within the report to be allocated to fund SSD/FPEP reducing the surplus over the MTFP to £28.9m. Useable reserves are expected to decrease by £84m, as these funds will be necessary to offset future deficits and support the major projects, CWP and climate action programmes. The announcement from the Local Government Settlement has already been incorporated into the MTFP and includes assumed business rates growth from 2027/28 of c.£77m accumulated over this period, which is set aside under the operational property reserve.

Overall Financial Strategy

21.0 The City of London Corporation's overall financial policy for City Fund is set out in Appendix E.

22.0 When considering the allocation of resources and competing pressures and priorities, the Corporate Plan provides a framework to ensure decisions are aligned to one or more of the approved six key outcomes.

Budget Response and Measures to Stabilise the Position – supported by Joint RASC and Service Committee Chairs

Budget 2026

23.0 The strategy for the 2026/27 budget has focused on achieving stability while accounting for prevailing challenges. This includes a net 3% increase in the local risk budget, as well as additional funding.

- £112k p.a. for increased external audit fees
- 3% uplift amounting to £206k in relation to the Museum of London grant for 2026/27 to be reviewed and inflated annually
- 3% uplift to the London Symphony Orchestra, £63k p.a.

24.0 **Tax raising powers and funding levers** - Government expects the City Corporation to use its tax-setting flexibilities to fund services for the large daytime population. At the recent ratepayers' meeting – the proposed increase in Business Rate Premium faced no opposition. While this will provide additional support for daytime population driven pressures, it will not close the funding gap in full.

24.1 **Council Tax:**

24.1.1 For 2026/27, support an increase in Council Tax of 4.99%, the maximum permissible without a referendum, raising c£0.561m p.a.

24.1.2 The Government has confirmed that the 4.99% referendum threshold will be removed for 2027/28 and 2028/29 for the City Corporation and five other local authorities with historically low Council Tax levels, to enable movement close to the national average Band D rate.

24.1.3 Member are asked to note that, due to the very small residential tax base, even setting Council Tax at the national average would raise only c£5m p.a., while representing an increase of around 80% for residents.

24.2 **Business Rate Premium:**

24.2.1 Support an increase in the BRP to 1p in the £, raising c£21.1m p.a. Of this:

- 0.3p in the £ to be earmarked to support the funding of the Future Police Estate Programme (FPEP) over an agreed multi-year period. This approach will:
- Release pressure on City Fund capital receipts, reducing the need for further investment property disposals;
- Provide greater certainty and affordability in delivering the Police estates programme;
- Enable the Corporation to reprioritise capital receipts from investment property disposals to areas of greatest strategic need, including other major programmes across City Fund, noting that the Court of Common Council approved £63m reprioritisation of capital receipts to support the HRA major works programme.

24.2.2 0.6p in the £ to be allocated to security pressures and wider policing requirements, reflecting ongoing public safety, resilience and operational demands within the square mile.

25.0 **Holding Reserves -** reserves are depleting at a rapid rate, significantly limiting the City's capacity to absorb further shocks beyond those already modelled within the MTFP. This increasing fragility constrains flexibility and heightens risk, particularly in the context of funding uncertainty and structural deficits. Holding reserves to support the cliff-edge in 2029/30 is critical. In addition, transformational funding is required to enable step change necessary to stabilise the financial position and deliver sustainable solutions, rather than solely relying on reserves to manage ongoing pressures. It is, therefore, recommended that Members support targeted investment in transformation as a priority to restore resilience and place the organisation on a more sustainable footing, with further recommendations to come with regards to future deficits.

26.0 **Cost pressures included to align funding or support Corporation's ambitions -** As a result, from the budget setting discussions a number of

pressures were identified to either align funding to more appropriate source or support the Corporation's ambitions. These have been added to the budget to be funded from retaining more of the Business Rates Premium:

26.1 Funding of a building safety enforcement team which has previously been funded by MHCLG - £350k pa

26.2 Strengthening the Corporation's Community Safety Team by establishing an additional Head of Community Safety role and an additional Community Safety Officer - £165k pa

26.3 Creation of a Cyber Security Team amounting to £833k pa

27.0 **On-going cost pressures or bids for new activities** - Service Committees have identified cost pressures or new activities that need funding within the overall budget, 2025/26 underspends or increased in income generation. savings have been identified during the 2026/27 budget process and have been used to fund pressures including the following:

27.1 The Waste Collection service within Port Heath & Environmental Services were in need of a fixed term Circular Economy Officer - £55k. This role has been funded through additional waste collection income

27.2 A new member of staff in the City Construction Levy team, specialist training, out of hours working and equipment maintenance (Environmental Services), has been funded through additional income generated through construction levy.

27.3 Following a review of the filming income application fees the income budget has increased by £76k which has been used to offset staffing pressures within the filming office.

27.4 Note these are all on-going pressures and have been added in with no impact on the overall envelope as met from savings identified elsewhere.

28.0 **One-off or time limited funding -** When setting the budget for 2026/27, the intention has been to capture and consider pressures as part of that process. Therefore, the use of 2025/26 underspends to fund additional pressures has been considered for exceptional and one-off events. The wider intention is that any underspend on 2025/26 go into reserves in order to support the future deficits. Q3 forecasts indicate underspends of c£30.9m on City Fund.

28.1 To sustain the momentum of our transformation agenda, it is recommended that the agreed 2025/26 transformation funding is supplemented. Continued investment is critical to delivering the scale of change necessary to secure long-term financial sustainability, drive operational efficiencies, accelerate digital transformation, and realise recurring cashable savings. Given the scale of the financial and operational challenges, a strategic transformation approach is essential. It must enable short-term cost reductions without compromising our capacity to deliver the wider strategic changes the organisation needs. Lessons from previous programmes will be embedded to strengthen our transformation capability

and capacity. An additional £2–£3m is expected to be required in 2026/27. This is proposed to be funded from 2025/26 underspends.

28.2 Following the review and approval of the Strategic Procurement and Contract Management, it was recommended that a Centre of Excellence be established. This Centre will not only lead improvement activity but also enable the consolidation of best practice and provide structured support to the wider corporation in lessons learned and capability building. It is therefore recommended that £595k p.a. be allocated for 2 years, funded through 2025/26 underspends. This will be split across both funds.

28.3 It is advisable to carry forward an amount from 2025/26 underspends to mitigate inflationary pressures, such as energy costs and future pay awards. Last year £1.2m was carried forward for inflationary pressures within City Fund which cannot be contained with allocated budgets.

29.0 Although not specifically updated for 2026/27, one-off funding requests are annually made and approved through sources like Policy and Resources and Finance Contingency funds. There will be a greater focus on ensuring these allocations generate a financial return or prevent extra costs.

30.0 **Housing Revenue Account (HRA)** The HRA position remains precarious over the medium term relying heavily on additional units coming on stream at the completion of new developments should help ease the situation. Significant work has been undertaken this year in reviewing and updating the HRA budgets. Additional resources have been identified to support the HRA Capital Programme from within City Fund However, due to the statutory ringfence of the revenue account no outside funding support can be added to the revenue budget. To support the revenue position, for 2026/27 it is recommended that the social rents are to be uplifted by 4.8% which is the cap limit.

30.1 An HRA efficiency review has been commissioned, with a remit to consider how the Corporation most effectively and sustainably delivers its social housing obligations. In addition, Court of Common Council recently approved 1) an Exceptional Financial Support (EFS) to government for a capital direction from City Fund capital reserves; and 2) expanding the HRA major improvement programme, enabling progress in addressing the significant backlog of major works, including the exploration of third-party investment opportunities. Further analysis will return to your Finance Committee on the ongoing revenue impact including reserves and long-term HRA sustainability.

31.0 **Immediate Opportunities – Business Rates Multiplier impact on Business Rates Premium and Security Pressures**

31.1 Members should be aware that changes to the Business Rates multiplier will lead to an increased income from the Business Rates Premium. This is expected to generate c£50m (assumption includes increasing BRP for 2026/27) over the next four years, and an additional £7m p.a. thereafter. This provides an opportunity to strengthen the funding of security-related expenditure.

31.2 Martyn's Law, formally the Terrorism (Protection of Premises) Act 2025, mandates stricter security requirements for public venues, including courts. The legislation aims to improve preparedness and prevention of terrorist attacks, ensure public safety, mandating enhanced security measures and technologies. While primarily targeting arenas and shopping centres, it also affects justice sector. These measures are essential not only for the protection of individuals, i.e. judges, staff, litigants and the public, but also for the integrity and efficiency of the legal proceedings. Compliance necessitates strengthened access controls, enhanced physical and technology protections aligned to prevailing threat assessments.

31.3 The introduction of additional income from the Business Rates multiplier, resulting in an increase in Business Rates Premium, along with Martyn's Law taking effect on 3rd April 2025, presents an opportunity to reprioritise funding for security-related expenses at the Courts within the Salisbury Square Development (SSD) major projects. This could ease the financial burden on City's Estate, which is currently providing a £210m grant to the City Fund for building the Courts at SSD. At present, City's Estate must sell investment assets, leading to an estimated annual reduction in rental income of £8.4m p.a. The total security costs for the Courts are estimated to be £41m. The change in funding arrangements enables the City's Estate to retain c£1.6m in annual rental income or redirect £41m to other forthcoming major programmes, as highlighted in the City's Estate 2026/27 budget and MTFP paper.

31.4 For 2026/27 this will result in a reduction of c£7m grant from City's Estate with funding prioritised from the increase in the BRP multiplier.

32.0 **Significant inflationary pressures on Police**, arising from higher than budgeted pay and allowance increases for officers and staff, along with increasing operational demands. While the 2026/27 police funding settlement has provided £4.0m additional funding over 2025/26, £2.7m of this has been ringfenced to support delivery of the Government's Neighbourhood Policing Guarantee (NPG), which is contingent on meeting a required uplift in officer numbers. With the expectation that a significant proportion of funding will be absorbed by future officer pay awards, delivery of the NPG is only affordable in 2026/27 due to the frontloading of the Spending Review settlement. Separately, the Home Office has also confirmed that the Hotspot Action Fund which provided £1m of funding in 2024/25 and 2025/26 for tackling anti-social behaviour and serious violence in hotspot areas will cease in 2025/26, with delivery of such policing expected to transition to business as usual as part of the delivery of the NPG. Additionally, full confirmation of national grant funding in 2026/27 for economic crime, fraud and cybercrime activity is still awaited. This ongoing uncertainty further constrains financial planning and increases risk. Taken together, the combined impact of inflationary pressures, ringfenced and conditional funding, reliance on frontloaded resources, the cessation of a specific grant streams and uncertainty over national funding heightens the financial risk in later years.

Measures required to stabilise the position from 2027/28 onwards – also supported by the meeting of RASC with Service Committee Chairs

33.0 **Use of reserves and transitional funding:**

33.1 Transitional funding and a proportion of 2025/26 and 2026/27 in-year surpluses are critical to smoothing the projected deficits and providing resilience to short-term shocks, while strategies to address the underlying funding gap are carefully developed, tested and embedded, rather than being used to fund new or expanded commitments.

33.2 The report recommends transitional funding is set aside to support the national, pan-London and funding gap on statutory services (for the Square Mile) supporting the daytime population from 2026/27 to 2029/30.

33.3 Additionally, a recommendation of specific allocation of transitional relief to be reserved for operational property renovations.

33.4 Any surpluses arising from the underspends from 2025/26 are ringfenced to support the remaining pressures on City Fund over the MTFP.

33.5 The Major Projects Reserve and other earmarked reserves are already heavily committed.

33.6 There is no capacity to absorb further shocks beyond those already modelled over the MTFP.

33.7 This report recommends building reserves to support the operational property renovation through ringfencing new Business Rates Growth.

34.0 **Deciding on services we provide going forward: statutory versus discretionary activity**

34.1 Activity analysis demonstrates that City Fund discretionary expenditure is slightly higher than its statutory expenditure, including services delivered not only for the Square Mile but also under the Corporation's national and pan-London responsibilities - see below. While these activities continue to contribute significantly to the City's distinctive role and wider public value, they also increase financial exposure as funding becomes more constrained. Within the anticipated future funding envelope, it is unlikely to be affordable to maintain all existing discretionary services alongside the current gold-standard level of statutory provision. Members will therefore need to take explicit decisions on the future scope, scale and prioritisation of services, including which activities should continue to be delivered locally, pan-London or nationally, and at what service level:

34.1.1 **National and pan-London responsibilities** City Fund currently underwrites several national and pan-London statutory functions (Heathrow Animal Reception Centre, London Port Authority, London Archives, support to the Central Criminal Court, Walbrook Wharf refuse service, New Spitalfields Market and joint responsibility with the GLA for providing a grant to the Museum of London including capital costs). In the absence of guaranteed government support, continued financing of these responsibilities

from City Fund is not financially sustainable, particularly given the City's atypical funding model, where services must be delivered for a small residential population but an exceptionally large daytime workforce and visitor population.

The diversion of City Fund resources to meet national and pan-London obligations has a direct and material impact on the Corporation's ability to deliver local services at the required scale – notably community safety, cleansing, public realm, cultural provision, and core corporate capacity. These pressures are magnified by the operational reality that local services must be designed and delivered to support a population far in excess of that used within the resident driven funding mechanism. Without external funding to reflect this role, continued support for national and pan-London functions increasingly displaces funding from local statutory and priority discretionary services, weakening resilience and service quality.

Engagement with MHCLG is ongoing to explore off-formula funding solutions for these responsibilities, however this does not negate the need for Members to make explicit medium-term decision on the maximum level of City Fund resource that can be committed. Absent clarity and constraint, the City faces a structural trade-off in which maintaining national and pan-London services ultimately undermines the Corporation's ability to serve its residents, workers, students and visitor as a local authority.

35.0 **New approach to savings - budget methodology and governance**
Existing savings processes and income generation initiatives, primarily progressed through officer-led Star Chambers, have largely focused on managing in-year cost pressures and mitigating departmental overspends. While necessary, this approach has not delivered the scale and pace of cross-cutting change required to address the MTFP gap at a corporate level. The scope for further incremental efficiency savings is now limited and will not be sufficient to close future structural deficits.

Addressing the scale of challenge will require a fundamentally different approach to budget setting and governance, with clear corporate direction, stronger prioritisation and explicit trade-offs between services. This in turn necessitates collective ownership by Members across committees of decisions on service scope, standards and delivery models, rather than reliance on individual departments to manage pressures in isolation. Members discussed at your January Finance Committee the implications of the local government and police funding settlements, which reinforced the need for a more strategic, coordinated approach to savings and financial decision-making going forward.

36.0 **Potential approach in the absence of transitional government support from 2027/28 onwards -** In the absence of transitional government support from 2027/28 onwards, Members may wish to consider a number of strategic options to improve the City's funding resilience. These include:

36.1 Reviewing the current arrangements with the Greater London Authority and making representations to Government to allow the City to retain a greater share of business rates growth (during the next phase of business rates growth) on a permanent basis, including options to retain two-thirds or up to 100% of future growth, even after the next system reset. Such an approach would better reflect the City's unique economic role, the scale of services it delivers relative to its resident population, and the limited alternative funding levers available.

36.2 In addition, Members may wish to explore the potential use of the London Mayor's proposed Hotel Levy, which is expected to raise £350m p.a. with the City contributing up to c£20m p.a., and consider whether a proportion or full amount of this income could be leveraged and redistributed to support services delivered in the City that benefit London and national economies – i.e. The Barbican Centre. However, it should be noted that the Mayor's intentions regarding the deployment of any hotel levy proceeds are not yet known, and there is currently no certainty that funding would be directed towards services delivered within the City.

37.0 **Strategic shift - Business Rates Multiplier impact on Business Rates Premium and Security Pressures -** As per paragraph 30 above, support the reduction of grant from City's Estate by c£34m over the next three years.

38.0 **Strategic Long-Term Change - Sustainability Planning of Security, Police, Justice, Environmental Services Estate -** Members are advised that supporting the recommended increase in BRP by 0.3p in the £ would only be necessary for several years to provide the remaining funding required for the FPEP. This also applies to the use of additional income generated from the increased multiplier. Looking ahead, the continued use of the earmarked BRP and multiplier could facilitate the establishment of a dedicated security, Police, justice and statutory services (for the Square Mile) reserve in support of estate renovations in 5-30 years' time, potentially generating c£400m in reserves. Establishing such a reserve would:

38.1 Support the long-term financial planning and intergenerational fairness, which we have failed to date;

38.2 Reduce future dependence on large-scale borrowing or asset disposals; and

38.3 Improve resilience against future funding shocks when significant estate renewal becomes unavoidable, ensuring estate sustainability.

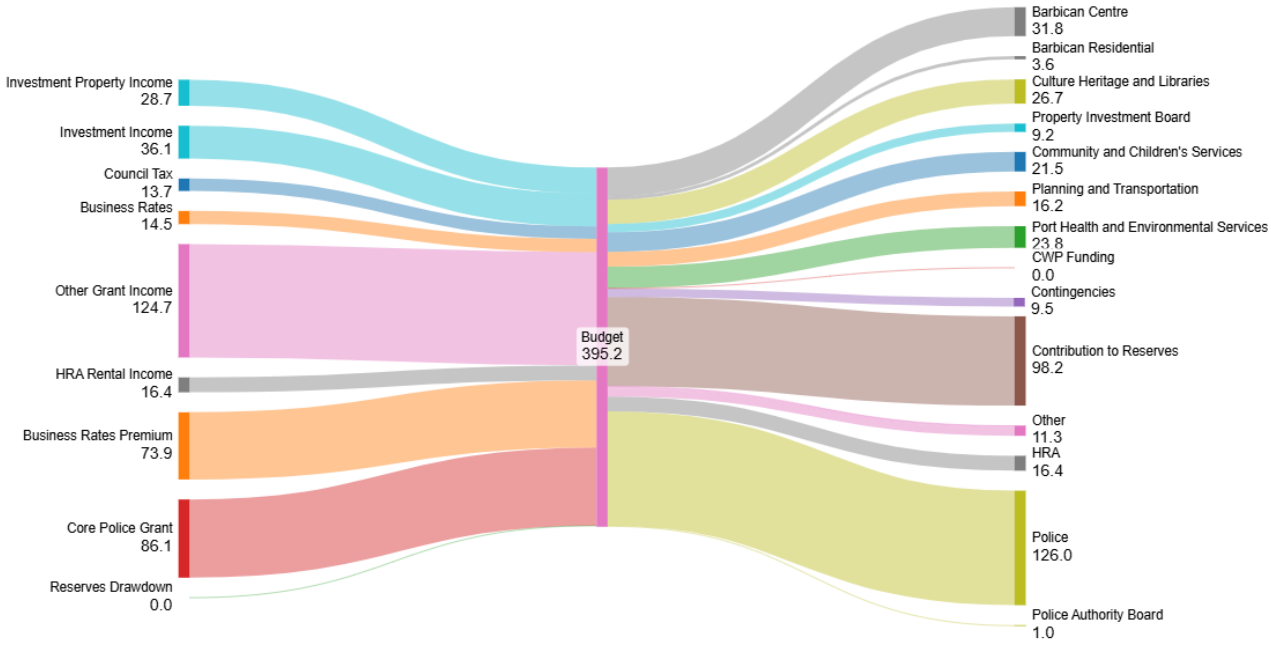
39.0 Efforts must be made to avoid additional revenue pressures during 2026/27 fiscal year, and any that do arise should be managed within local risk. **Your Policy and Resources Committee and Finance Committee have provided clear guidance that new on-going pressures should be contained within local risk. Where prioritisation is not feasible, services will need to be reviewed in line with Corporate Priorities or through the Transformational workstreams.**

Latest forecast position

40.0 The City Fund covers the local authority aspects of the City Corporation, which also include Police and Port Health which is unusual for a local authority. There is a statutory requirement to set a balanced budget on an annual basis and also across the MTFP period. Whilst this can be achieved using the application of reserves, ensuring an appropriate level of reserves is maintained is crucial to mitigate risks.

41.0 The Sankey chart 1 below illustrates the allocation of the 2025/26 net budgets, depicting the sources of funding on the left-hand side and the areas of expenditure on the right-hand side. Certain income streams, such as the HRA rents and £89m of police grants are designated for specific expenditure and cannot be used to subsidise other services.

Chart 1: 2026/27 City Fund



42.0 While City Fund (including Police) is balanced over the medium-term financial plan (MTFP), taking one year with the next useable reserves are expected to decrease by £84m, as these funds will be necessary to offset future deficits and support the major projects, CWP and climate action programmes. Future business rates growth remains uncertain, as new properties coming online are outside Corporation's control. With the Government planning 3 or 6 year business rates resets, any growth achieved is likely to be lost again, creating a further funding "cliff-edge". Previously the Corporation retained c£19m p.a. in baseline in addition to the City Offset, but from 2029/30, after transitional relief ends, there is a risk it will retain none of the c£1.3bn generated locally. Therefore, it is not recommended to use the new business rates growth to support business as usual and future savings will be required.

43.0 As mentioned, in the above, the HRA remains precarious over the medium term. To support the revenue position, for 2026/27 the social rents are to be uplifted by 4.8% which is the cap limit. However, without EFS approval for

capital direction, there is a risk that statutory obligations, both financial and safety standards may not be met.

44.0 Police: CoLP's financial position has been significantly strengthened over the last few years by a combination of savings and mitigation plans, significant improvements in full cost recovery for its funded work, increases in the National & International Capital City (NICC) and Precept Grants plus incrementing of Business Rate Premium (BRP) funding up to the national average % for local funding across forces. While the 2025 BRP increase, with its profiled allocation, balanced CoLP's 20256/27 MTFP and maintained CoLP local funding % (including Precept Grant and rent-free benefit) in parity with the national average, nationally precept flexibility for 2026/27 has been set at a higher than expected £15 and the City remains well below the local funding % of other Southeast forces (excluding Metropolitan Police Service).Although these factors have enabled CoLP to set a balanced MTFP, CoLP continues to experience a range of major new pressures including higher inflation, pay awards and increasing operational demands all of which present a risk to Police Finances. Beyond 2026/27 sustaining a balanced CoLP MTFP will require a strong drive on productivity, realisation of £7m of aggregate cashable efficiencies and identification of some further savings.

45.0 Looking ahead, there are notable risks and a great deal of uncertainty. The medium-term financial position is shown in table 2 below. Despite the additional income from retained Business Rates growth and additional funding, the medium-term outlook for City Fund finances including Police, are precarious with significant deficits projected across the remainder of the medium-term financial plan.

Table 2: City Fund MTFP overview

CITY FUND	**25/26 £m**	**26/27 £m**	**27/28 £m**	**28/29 £m**	**29/30 £m**
Net cost of services (exc police and security)	76.1	70.1	93.8	100.0	105.6
Projects					
Supplementary Revenue Projects	10.1	0.9	0.0	0.0	0.0
Cyclical Works Programme (Bow Wave & Forward Plan)	11.6	17.7	12.3	17.9	7.5
Major Projects Revenue Implication	0.0	3.2	4.2	4.2	2.0
Direct Revenue Financing	0.1	0.0	0.0	0.0	0.0
(Surplus)/Deficit Before Funding	**98.0**	**91.8**	**110.3**	**122.1**	**115.2**
Financing	(155.0)	(176.3)	(112.8)	(131.5)	(72.4)
(Surplus)/Deficit After Funding, before use of reserves	**(57.0)**	**(84.6)**	**(2.5)**	**(9.3)**	**42.7**
Drawdown of Reserves for Revenue	(20.0)	68.2	23.2	34.3	27.5
(Surplus)/Deficit after Revenue use of reserves	**(77.0)**	**(16.4)**	**20.6**	**24.9**	**70.2**
Proposed - Adult Social Care 2%	0.0	(0.2)	(0.2)	(0.2)	(0.2)
Proposed - Council Tax 2.99%	0.0	(0.3)	(0.3)	(0.3)	(0.3)

Proposed - BRP Security		(8.7)	(8.7)	(8.7)	(8.7)
Proposed - BRP daytime activities		(13.1)	(13.1)	(13.1)	(13.1)
(Surplus)/Deficit after the application of potential CT / BRP increase	**(77.0)**	**(38.7)**	**(1.7)**	**2.6**	**47.9**
City of London Police (surplus)/deficit	***0.0***	***2.2***	***4.7***	***6.3***	***9.5***
Further Mitigations proposed	0.0	(2.2)	(4.7)	(6.3)	(9.5)
Proposed - transfers to and from police reserve 0.05p to £		1.1	1.1	1.1	1.1
Use of BRP to fund SSD/FPEP	6.8	13.6	13.6	14.3	12.6
City Fund total including Police before transfer from reserves	**(70.2)**	**(24.0)**	**13.0**	**18.0**	**61.6**
Transfer from reserves	0.0	0.0	(13.0)	(18.0)	(61.6)
City Fund total after transfer from reserves	**(70.2)**	**(24.0)**	**0.0**	**0.0**	**0.0**

46.0 The following areas are significant movements from last year's MTFP position for 2026/27, outside of transitional funding arrangements:

i. Increased income from interest on balances (£23.86m)

ii. Reductions in investment property income due (£2.9m)

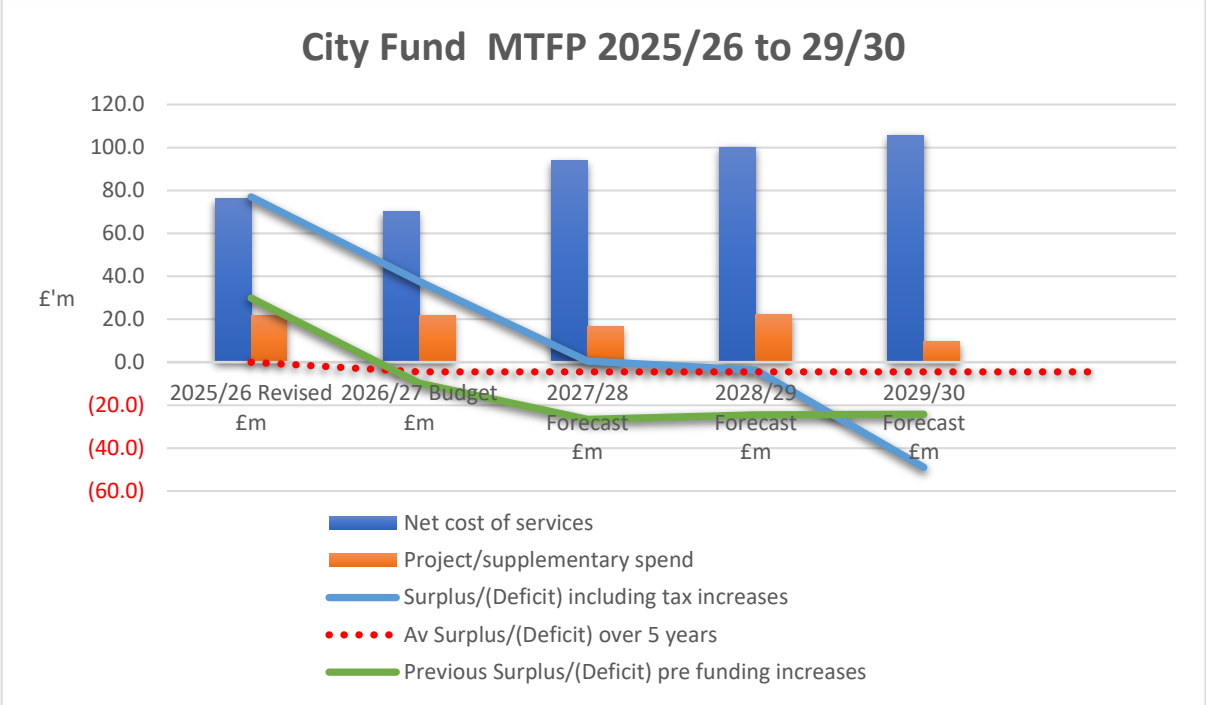
iii. Increase in income from changes in financing including Business rates, BRP, transitional funding, offset by transfers to transitional and other reserves (£30.9m)

iv. Additional pressures as set out in Appendix A (£2.6m)

47.0 Looking beyond 2026/27, one of the major income streams within City Fund is investment property. Rents forecasts reduced over the MTFP period from £150.5m over a five-year period last year, to £144.9m. This now reflects the position with all planned disposals required to fund the remaining expenditure under the major projects programme on a property-by-property basis in line with the investment disposals strategy. Further deterioration of this vital income stream will place more pressure on the revenue budget.

48.0 The projected income and expenditure over the MTFP period are summarised in chart 2 below.

Chart 2: City Fund MTFP (Surplus)/Deficit – without transfers from reserves



City Fund Reserves

49.0 Reserves are a crucial component of financial planning. They serve two primary purposes: to mitigate risks, or to invest in the Corporation's priorities. City Fund holds two categories of reserves, usable and unusable:

i. Usable reserves are defined as those that the Local Authority could utilise to fund capital or revenue expenditure. Some of these reserves could be applied generally but others (classified as Earmarked) will have stipulations attached on their use.

ii. Unusable reserves hold unrealised gains or losses for assets not yet disposed of and accounting adjustments, which are required by statue. These reserves cannot be used to fund capital or revenue expenditure.

50.0 City Fund has a statutory requirement to set a balanced budget each year and over the medium-term financial plan after taking account of the use of reserves. As a result, usable reserves are monitored to ensure there are sufficient resources to meet this requirement and also to fund the requirements of the Capital programme. The key useable reserves included are;

i. General Reserves – This is the 'General Fund Balance' held at a minimum balance of £20m.

ii. Business Rate Risk Reserve – Held to help smooth the timing differences of business rate income hitting the general fund.

iii. Transitional Reserve – This is proposed to hold all balances of transitional funding received from government. This will then be applied to fund those services provided for the national or pan London benefit, or that are driven by the high level of daily commuters.

iv. Operational Property Reserve – To hold the balance business rate growth which can be used to begin financing the extension operational property costs projected over the coming decade.

v. I&E Reserve – held to help smooth budget surplus / deficits in future years. Deficits on operational activities to be charged against these in the first instance.

vi. Major Project Reserve –used to support the financing of the Major Projects. In future years amounts are also required to offset projected deficits

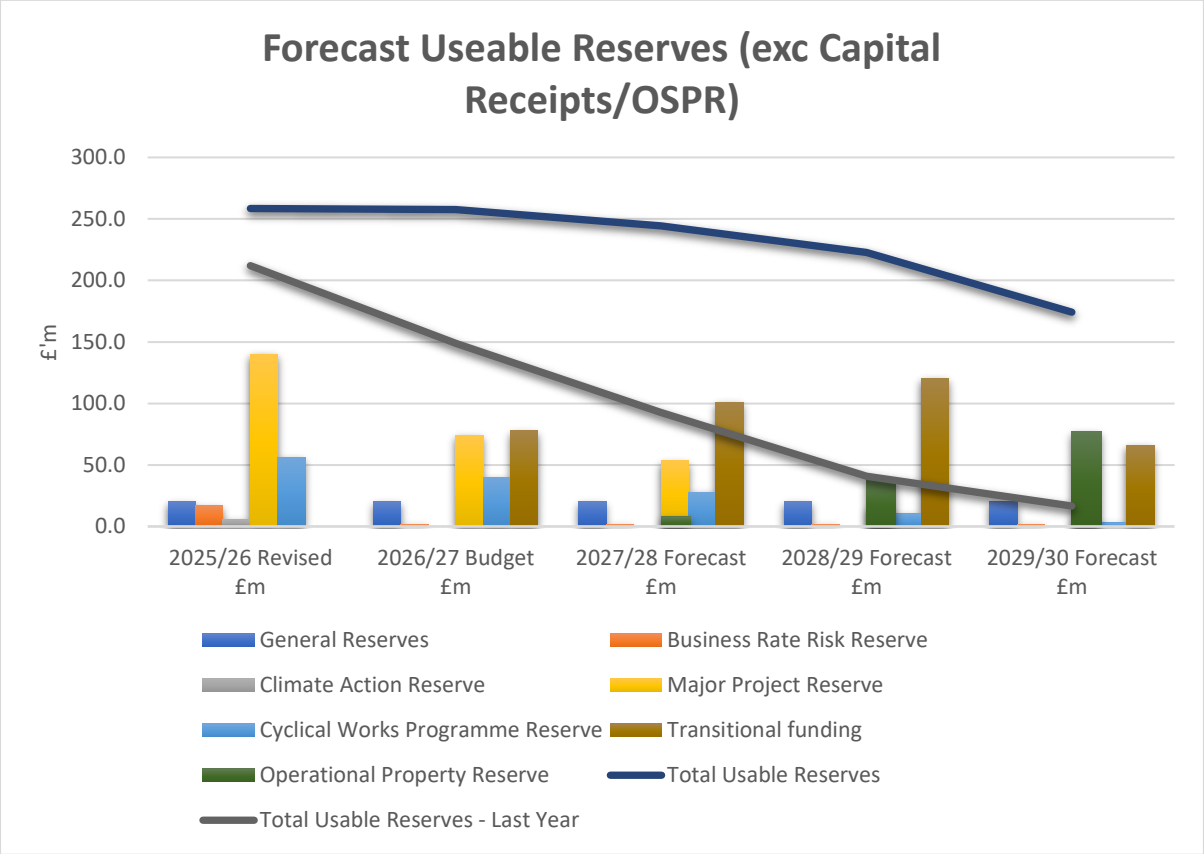
vii. Climate Action Reserve – used to fund the approved Climate Action Strategy

viii. Cyclical Works Programme Reserve – approved in 2024/25 to fund the backlog of CWP works within City Fund.

In 2025 two Major Programmes had a significant impact on the projected balances of these reserves. The inclusion of the Barbican renewal works and increased costs of the Sailsbury Square Development, combined with projected deficits from 2026/27 onwards, indicate that the balance of earmarked usable reserves is expected to decrease from the current £258m to £174m by the end of 2029/30 (of this £77m will be earmarked for operational property requirements and £66m for further transitional support and or operational property renovations). Should this occur, the ability of City Fund to meet unexpected pressures and ongoing demand growth for services would be severely constrained. Whilst there is no mandated level of reserves, general reserves are usually kept at £20m. A target of 10% of annual gross expenditure would require c£40m/£50m excluding/including Police.

51.0 Chart 3 below sets out the projected balances of City Fund usable reserves up to 2029/30.

Chart 3: Projected City Fund Reserve Balances



City Fund – Long Term projections

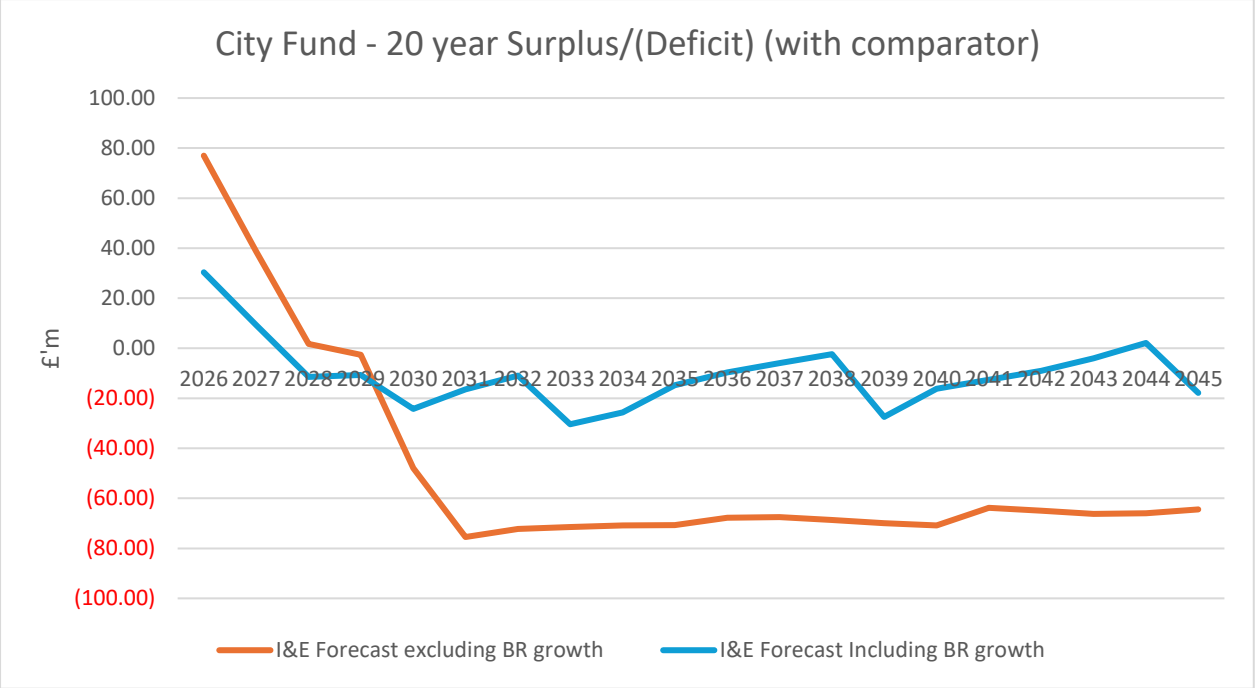
52.0 In addition to the five-year medium-term projections, work has also been undertaken on the 20-year horizons for City Fund. The funding landscape, in particular around Business Rates, makes this highly subjective and subject to a high level of tolerance, but nevertheless provides an insight into future pressures within the Fund.

53.0 When Members approved the decision to invest in the first phase of Barbican centre renewal works, they included a condition to bring back a 10-year plan. Understanding the implications and requirements of this plan is essential, and longer-term City Fund financial modelling plays a key role in this process.

54.0 Chart 4 below shows City Fund surplus/deficit projections over the next twenty-years, highlighting the impact of the 2026/27 business rates reset and an ongoing deficit of around £20m p.a. when business rates growth is used to support revenue costs. However, retaining business rate growth over this period would generate c£800m; Recent projections for operational property renovations (excluding national, pan-London, services for daytime population) have been estimated at £1.5bn over the same timeframe. It is therefore essential to preserve these funds to support future investment without resorting to disposals of investment properties. However, removing the business rates growth from revenue funding increases the ongoing deficit to around £70m p.a. – broadly equivalent to the combined funding gap from daytime population

pressures (£10m p.a.), national and pan-London pressures (£39m p.a.), and the savings requirement (£20m p.a.).

Chart 4: City Fund 20-year projection



55.0 These long-term projections are considered against the Capital Strategy and Cashflow forecasting when considering the borrowing strategy for City Fund. Detail on the position is contained within Appendix F.

56.0 Where reserves have not already been allocated to fund Capital expenditure, it is still the intention to dispose of assets to offset the Capital Financing Requirements. The projected revenue deficits following future resets, increase the risk in undertaking any PWLB borrowing with annual fixed interest and Minimum Revenue Provision requirements.

57.0 For future disposals this revenue cost of borrowing will be compared to the lost rental impact of property disposals to ensure the optimum solution for the City Fund Revenue budget to maintain the statutory requirement to remain in balance.

Tax increases

58.0 The annual resident and Business Rate Payers consultation took place on 2nd February 2026 as part of the City Question Time event, where the Chairman of Policy & Resources and the Chairman of Finance, alongside the Deputy Commissioner, presented a compelling narrative to ratepayers and residents in support of an increase in Business Rate Premium. The questions and responses from those that attended did not push back on the proposals.

59.0 As Table 2 in the report demonstrates, income from Council Tax is a relatively small proportion of the overall funding. ***However, given the limited options available to increase revenue to counteract inflation and expenditure pressures, Members will wish to consider council tax increases. Local authorities are permitted to levy a social care percept of 2% and uplift of Council Tax by 2.99% to address funding pressures and this has been modelled in the 2026/27 budget. Local Authorities are permitted these uplifts without a referendum. In this context, Members are recommended to agree:***

i. Increase Adult Social Care precept by 2% - to address inflationary pressures within Adult Social Care.

ii. Increase in core Council Tax by 2.99% - to address pressures identified throughout the report.

iii. Those on lowest incomes will be eligible for council tax relief (Council Tax Reduction Scheme). The City continues to operate a fully funded 100% relief scheme.

iv. The Council Tax for the current year, 2025/26, is £1,274.07, expressed at band D and including the GLA precept of £171.25 for comparative purposes, Westminster band D including the GLA precept of £490.38 is currently £1017.18; Wandsworth, £990.07; and Hammersmith and Fulham is £1,451.42.

v. Maintaining the Local Discretionary discount for Care Leavers between the ages of 18 to 25 in 2026/27.

vi. Maintaining the level of discount at zero (0%) to unoccupied and unfurnished and uninhabitable dwellings for 2026/27.

vii. Maintaining the premium levied on long-term empty property of 100%, 200% and 300% on properties that have been empty for 1, 5 and 10 years respectively is continued in 2026/27

viii. Maintain the second home premium of 100% for 2026/27.

ix. Retain the change made to the Housing Benefit and Council Tax benefit scheme to allow pensions received by veterans under the War Pension Scheme to be fully disregarded in the calculation of Housing and Council tax Benefit entitlement.

x. The Government has confirmed that the 4.99% referendum threshold will be removed for 2027/28 and 2028/29 for the City Corporation and five other local authorities with historically low Council Tax levels, to enable movement close to the national average Band D rate.

xi. Members are asked to note that, due to the very small residential tax base, even setting Council Tax at the national average would raise only c£5m p.a., while representing an increase of around 80% for residents.

xii. The Government has announced the introduction of a High Value **Council Tax** Surcharge (HVCTS), and as a result from April 2028 owners of properties valued at over £2 million by the Valuation Office (2026 valuations) will be liable for a recurring annual charge in addition to existing council tax. This will contain four bands with a surcharge ranging from £2,500 to £7,500 – all uprated by inflation per annum.

xiii. The revaluation will only be applied to the surcharge and is not expected to change valuations for Council Tax purposes. CoL will collect this revenue on behalf of central government and will be fully compensated for new burdens of administering this tax. The revenue will be used to support funding for local services, with further consideration through the 2027 Spending Review.

xiv. The Government will be launching a consultation about the implementation of the HVCTS in the New Year, which will consider who might require additional support to pay the charge. The Valuation Office will also have to undertake an exercise to identify the properties that will be charged the new HVCTS as detailed current valuations are not currently held by the VO. Nationally, there are currently around 17,000 Band H properties, but it is not yet known how many properties in CoL are likely to be affected by the Surcharge. There may be properties in lower bands which are found to be eligible for the Surcharge through the valuation process. The CoL currently has 8,063 domestic properties with 307 in Band H. However, there are 2,891 in Bands F and G which could also be impacted.

60.0 The other area where the City Corporation retains significant income generating powers is through the setting of Business Rates premium. This has gained greater significance with the changes in funding proposed by the government which do not adequately reflect the impact of daily commuter populations. ***Given the inflationary pressures on security, City of London Police (CoLP), and a funding gap in the statutory services (in the Square Mile) and Future Police Estates Programme impacting the City Fund's financial position. Members to consider increasing Business Rate Premium (BRP) up to 1p to the £.***

61.0 Members may also wish to consider:

i. Due to the very small residential population, the Corporation is unable to levy taxes in the same way that Police & Crime Commissioner Offices do through precepts on Council Tax – for 2026/27, flexibility has been increased to £15 without needing a referendum. This restricts the amount that can be raised by the Corporation and means that if we do not increase the BRP by 0.4p for Police inflationary pressures and rising costs of funding the Future Police Estate Programme, City Fund could only be balanced across the medium term due to the transitional funding. Without this adjustment, additional substantial savings and enhanced support for Police

operations would be required beyond those already detailed in the main report.

ii. With recent changes to the Corporation's central grant and the Government's expectation that the Corporation use its tax-setting flexibilities, it is necessary to support the services provided for the daytime population both businesses and visitors. Applying a 0.6p in the £ increase to address these unfunded pressures will help sustain essential services while longer-term savings are identified.

iii. Members have supported smaller and regular increases. For every 0.1p increase in the £ - this raises c£2.1m, therefore an increase in Business Rates Premium by 1p in the £ - raises £21m p.a.

iv. Continuing to support a Discretionary Discount under S47 Local Government Finance Act for qualifying Nursery Schools of up to 100% for 2026/27. This will cover three nurseries operating in the City. The minimal cost of awarding the relief is split between the City (45%) and the GLA (55%) basis.

v. Changes to **business rates** will include the introduction of three new multipliers which along with the standard and small business multiplier are used to calculate the business rate bills each year. The new multipliers are intended to permanently reduce rates for retail, hospitality and leisure properties. These lower multipliers will effectively be funded by a new high-value multiplier for businesses with a rateable value above £500,000 from April 2026

vi. The Government's own analysis suggests that around 7,500 business in London will pay the high-value multiplier, the most of any region in the UK. The initial analysis of the draft 2026 valuation list suggests that 1,170 properties will fall into the High Value Multiplier category which is 6.36% of the total properties but this represents 67.42% of the total Rateable Value in the City of London Corporation.

The Government has recently announced an additional relief for pubs and live music venues of . 15% business rates relief on top of the support already announced at Budget 2025. Their bills will then be frozen in real terms for a further two years.. This relief is fully funded by Government.

vii. A new Valuation List which takes effect from 1/4/26 (Business rate rateable values will be updated to reflect changes in property values since the last revaluation in 2023).

62.0 As expected, the Government has announced plans to give Mayors in England powers to raise a **visitor levy on overnight accommodation.** The Government has launched a dedicated consultation on the design of the levy as well as considerations on how revenue is spent. The consultation includes questions on the level of retention by local authorities so it is not currently known how much, if any, the Corporation may retain for local services. Based on available data there are 7,550 bed spaces in hotels, so it is expected that the amount of money raised

in the Corporation will be significant. This does not however mean that revenue is retained locally. Central London Forward (CLF) have commissioned research into the possible design of the levy and revenue raised and we will be working closely with CLF and London Councils to develop a common policy position to go into the consultation.

63.0 Key assumptions used in the forecast have been set out in Appendix A.

Capital programme – Business As Usual (BAU)

64.0 The City Corporation has an extensive BAU capital programme across City Fund. This includes Supplementary Revenue Projects (SRP) which are revenue spend aligned to capital projects. These are not contained within the service revenue budgets so are shown separately alongside the capital programme even though they are in fact revenue expenditure

Table 3: City Fund Capital Programme

CITY FUND	2025/26 £'m	2026/27 £'m	2027/28 £'m	2028/29 £'m	2029/30 £'m	Later Yrs £'m	Total £'m
BAU Capital and SRP	122.6	129.2	67.7	33.0	21.3	-	**373.8**

65.0 In setting the Capital Programme for 2026/27, the Policy and Resources Committee approved in principle an envelope of £10m contingency, this has been fully allocated to three new bids for £2.3 and £7.7m to the funding for the HRA additional works programme.

66.0 The City Fund capital project budgets are being submitted to the Court of Common Council in March. **Further detail is contained within the Capital Strategy (Appendix F)**.

67.0 Moving forward, despite pressures on the budgets, the current assumption is that it is not practical to expect no new bids to come forward each year. A figure of £10m within City Fund, has therefore been included each year as a contingency within the programme. However, the focus should continue on reallocation and re-prioritisation of budgets, while maintaining the £10m contingency to provide some small headroom for critical requests. New expenditure should first look to be managed within the overall capital envelope through reallocation resources, using the Corporate Plan and potential for generating financial efficiencies as a guide to those conversations.

68.0 Within the BAU programme it is being recommended to include £22.5m of funding for works on the Barbican Podium and Sculpture court. These are separate to the wider Barbican renewal works but are required in order to then progress works on the Exhibition Halls. The Podium in particular has been in the Capital programme for a number of years, in order to comply with planning

conditions and avoid further costs. The recommendation is to fund this from surpluses generated in 2025/26 from retained business rates.

69.0 The financing of the City Fund capital and supplementary revenue projects programmes needs to reflect the optimum reserves position of each fund. Therefore, approval is sought for authority to be delegated to the Chamberlain to determine the final financing of capital and supplementary revenue project expenditure.

Capital Programme – Major Projects

70.0 The commitment against Major programmes equates to over £1bn of expenditure over the project lifetime. This scale of investment puts significant strain on the balances of City Fund and so consideration of the affordability and alternative funding options of each scheme need to continue to be reviewed.

71.0 Within City Fund, the Major Projects (further detail within Appendix F) are;

a) Museum of London relocation (inc. London Wall West/Bastion House) – joint project with the Museum of London (MoL) and Greater London Authority (GLA) to relocate the MoL to a new site at the former Poultry Market.

b) Sailsbury Square Development – construction of a new courts building, commercial offices and Police accommodation.

c) Future Police Estate Programme – the remainder of the Police accommodation.

d) Barbican renewal – this relates to the first five years of works required to upgrade and modernise the infrastructure and conservatory.

e) HRA, this has been added this year as a result of the significant increase in investment approved during 2025/26.

Table 4: Major Projects City Fund

CITY FUND – Gross Exp	**2025/26 £'m**	**2026/27 £'m**	**2027/28 £'m**	**2028/29 £'m**	**2029/30 £'m**	**Later Yrs £'m**	**Total £'m**
Barbican Renewal	27.0	53.8	60.5	90.7	67.5	-	299.5
Bastion House	0.9	0.4	-	2.4	0.3	-	4.8
FPEP	25.6	25.3	38.5	19.0	0.6	30.6	139.4
Museum of London	70.2	50.4	-	-	-	-	120.5
Sailsbury Square	209.3	175.4	7.7	-	-	-	392.4
Barbican Risk	-	-	-	-	28.5	28.5	57.0
HRA	48.7	16.9	24.7	29.7	35.8	196.0	351.8
Total	**381.7**	**322.1**	**131.4**	**141.8**	**104.1**	**227.3**	**1,308.4**

72.0 The City Fund Major Project budgets are being submitted to the Court of Common Council in March. **Further detail is contained within the Capital Strategy (Appendix F)**.

Savings Programmes

73.0 Significant progress has been made against the Corporation's savings programmes. Two main savings programmes have been undertaken in the City Corporation to try and reduce the pressure on the revenue budgets. These were the Fundamental Review Savings and Target Operating Model (TOM) / 12% savings programmes. These have been built into the budgets of both City Fund and City Estate over a number of years.

74.0 Having two separate savings programmes has led to a lack of clarity around how delivery of these savings has progressed and has been commented on by external auditors as an area to improve. Current assessment of the position indicates that c£4.4m of savings are still unidentified over the MTFP, same position as last year, of which £3.5m savings are planned to be achieved by 2026/27, and £0.9m by 2028/29.

Table 5: Update on savings programmes

Department	£m	Savings Programme	Fund	Feedback - from Star Chambers
Barbican	2.80	Fundamental Review -	City Fund	Fundamental Review Savings of which £1.5m relate to cross cutting business events, recommended that this is met from income generation
Chamberlains	0.60	Fundamental Review -	Guildhall Admin*	Fundamental Review Savings to be delivered as part of Enterprise Resource Planning (ERP) implementation Of this amount £0.5m has been found during 2026/27 budget setting and £0.1m pushed back to 2028.29
Chamberlains	0.50	Fundamental Review -	Guildhall Admin*	Fundamental Review Savings - Income Generation under Commercial
Chamberlains	0.50	12% savings	Guildhall Amin*	Savings initiatives are being worked on and are expected to be delivered in 2028/29
Total	**4.40**			

*Guildhall Admin savings will be passed onto all service areas as a reduction in the central support recharge.

75.0 Ongoing radical thoughts are required to reduce the annual operating deficit for both City Fund and City's Estate and ensure they remain sustainable. While top slicing of budgets can provide short term financial relief, it is important to carefully consider the potential long-term risks and impact on service quality, employee morale, and overall organisation efficiency. Therefore, it is not recommended to top slice budgets unless absolutely necessary. This report proposes a revised, Member-led approach to savings focused on budget methodology and governance. Star Chambers led by the Town Clerk and Chamberlains have taken place this year, but proposals identified there were towards mitigating pressures in already overspending departments so further

work will be required to bring down the bottom-line position. Addressing the scale of challenge will require a more strategic corporate approach, with clearer prioritisation, explicit trade-offs between services, and collective Member ownership of decisions on service scope, standards, and delivery models. In this context, the Town Clerk has emphasised the need for enhanced efficiency and transformation across services, and transformation funding proposed in the report will be essential to support this step change. This needs to be a key focus of 2027/28 budget setting and will require changes to the current budget-setting and governance arrangements and may result in changes to service provision but provides a more sustainable basis for managing future financial pressures

76.0 Future modelling of the City Fund position suggests a recurring deficit of c£70m per annum when transitional funding comes to an end. This excludes any assumptions around business rate growth which fluctuate but also can be reset as per the current redistribution of local government funding. Any growth generated through business rates is recommended to be set aside for operational property costs. Of the c£70m deficit a proportion relates to services provided for the benefit of the nation or across London. The funding of these services continues to be discussed with central government as part of the changes to local government funding and the City Corporation's bespoke agreement. Dependent on those discussions, it is estimated that ongoing revenue savings of between £13m to £23m may be required from 2029/30 onwards to ensure a sustainable revenue budget is achieved.

Transformation Programme

77.0 The Transformation Programme is aligned with the Town Clerk's Fantastic Five Years vision and is designed to support organisational excellence, financial sustainability, and prepare the City Corporation for a digitally focused, AI-driven future. The programme aims to harness the potential of our unique positionality within the Square Mile and beyond and is focusing on four themes:

i. Organisational Excellence
ii. Entrepreneurial Spirit
iii. Innovative Collaboration
iv. Future City (digital Transformation)

78.0 Over the course of 2025/26, the focus has been on preparing the organisation for Transformation by getting the basics right and understanding the current gaps to our ambitious goals. Through the embedding of robust project governance (including a new benefits realisation framework), strategic risk management and a more mature approach to change management, we have established several of the important building blocks for true transformation to occur.

79.0 We intend to engage a strategic partner for Transformation delivery over a three-year period, on-boarded in Q1 2026. This partner will initially play a crucial role in bolstering and developing the City Corporation's Transformation capability and accelerate achievement of our financial and digital ambitions. The successful delivery partner will help us bridge the gaps between our current state and our ambitious agenda by providing much-needed specialist

Transformation capacity and capability and bring external knowledge and expertise to challenge the scale of our ambitions. The partner will also facilitate service design based around outcomes and/or customers without being constrained by existing organisational structures.

80.0 The Transformation team are currently launching soft market testing for this opportunity and developing a commercial model for this partnership, including exploration of outcome-based payments and risk and reward models, to align incentives and ensure mutual success. The proposed approach will ensure strong corporate oversight and collaboration between relevant departments and institutions to ensure effective management of the chosen strategic partner as well as realisation of benefits.

81.0 Other areas already in progress include income generation, implementation of the new investment strategy, review of underutilised operational assets and charities review. An update on these is provided below:

- Income generation - The income generation initiatives have progressed over the past year with critical learning gained through several early pilots. Member oversight of progress has been discharged by the Income Generation Working Party reporting to the Policy and Resources Committee. This work has identified significant capability and capacity gaps across the Corporation, and an initial assessment of commercial maturity scored the City at level one of five.

- Key areas in development:
    - (Film Office, Events, Advertising and Fees and Charges). Work is being done to ratify these figures and realise quick wins where relevant. A pilot approach to advertising has been agreed by Members and officers across the organisation are now preparing the pre-application phase. Early indications suggest that the current proposals will generate between £3m and £6m, which is lower than initially expected.
    - However, as part of the wider Transformation programme, several dependencies have been identified as potential enablers of significant income generation in the medium-term. These dependencies include the successful implementation of a commercial strategy, a holistic fee schedule, a branding review, a sponsorship framework, a flexible advertising policy, a business engagement strategy, a Square Mile digital platform, and an Intellectual Property review and retail policy.
    - Additionally, we have piloted several commercial opportunities through the Lady Mayor's Show. The success and learning from these initiatives are currently being reviewed, with the intention of larger-scale expansion over the next three to five years.

- Investment Strategy - The investment strategy aims to achieve returns of CPI + 3% for the City Fund. The modelling of the implementation of this strategy significantly improves the long-term sustainability of the City Fund finances, with projections indicating implementation from the 2028/29 fiscal

year. Ongoing work requires member support to diversify investment assets. It is recommended that no additions be made to the current major projects programme; instead, efforts should focus on development and reinvestment to stabilise the financial position of the City Fund and City's Estate.

- Operational Property – £142m receipts from the disposal/anticipated disposal of surplus operational property have been allocated to support major project programmes. It is unlikely that further disposals will be generated beyond those already identified. A review of underutilised assets is ongoing, with an update provided to the Resource Allocation Sub Committee and Policy and Resources Committee in December, with the aim to continue this process through 2026. Opportunities identified across City Fund and City's Estate include Epping Forest (in collaboration with the Natural Environment Charity Review), public conveniences, and other assets. These opportunities are being assessed for alternative uses, leasing, or reallocation. In addition, several vacant assets have been identified including Epping Forest's Loughton Golf Course and retail/office units on Kennington Road and Lindsey Street; these are actively marketed for lease to generate revenue. Some assets have attracted offers, with negotiations in progress, while others continue to undergo marketing activities.

82.0 It is therefore recommended that Members support targeted investment in transformation £2m to £3m as a priority to restore resilience and place the organisation on a more sustainable footing, with further recommendations to come with regards to future deficits.

Robustness of Estimates and Adequacy of Reserves and Contingencies

83.0 Section 25 of the Local Government Act 2003 requires the Chamberlain to report on the robustness of estimates made for the purpose of the budget calculations and the adequacy of reserves underpinning the budget proposals and requires members to have regard to that report in setting the budget.

84.0 Reserves can be classed as either general balances or earmarked reserves and represent funds that are not part of the normal recurring budget of the council but are distinct 'pots' of finite funds. General reserves are held as a safeguard against unforeseen events and to ensure the Corporation has sufficient funds to meet cash flow requirements. Earmarked reserves are held for specific purposes to meet operational commitments, risks or for strategic investment.

85.0 In coming to a conclusion on the robustness of estimates, the Chamberlain needs to assess the risk of over or under spending the budget. Having reviewed the budget for **2026/27** and the **MTFP through 2029/30**, the Chamberlain is satisfied that **the estimates are sufficiently robust** for the purposes of setting the budget and that **the level and application of General Fund and Earmarked reserves and contingencies is adequate** for 2026/27, **subject to the risk caveats set out below** and the delivery of the agreed measures,

including the disciplined use of transitional funding and the savings and transformation programme. Members should note that there is a structural gap in core funding, the impact of which will surface in 2029/30. Unless government funding is provided for the services that the City Corporation provides for London and the nation, radical service decisions will be required.

86.0 The HRA reserves are extremely precarious both in cash terms and as a percentage of rents. The HRA recovery plan sets out a path to fiscal sustainability, including boosting reserves from £0.3m to around £2.2m by 2029/30.

Basis for this opinion

Robustness of Estimates

87.0 **Budget setting process and challenge:** Developing budget estimates for a given financial year is an ongoing iterative process within the context of medium term and longer-term financial planning. Departments identified pressures and deliverable savings; high pressure areas were challenged through Star Chambers. Estimates have been prepared on prudent assumptions, with central contingencies carried forward from 2025/26 to manage inflationary and other economic risks, which have been evaluated in so far as is possible. The City Surveyor has carried out an in-depth review of rent incomes. The City Corporation has a recent track record of delivering to budget which gives further confidence on the robustness of estimates.

88.0 **Remaining debt free**: the estimates and financial forecast have been prepared at this stage on the basis of the Corporation remaining debt free until such time as internal borrowing may be needed to bridge the gap for major capital projects (the Museum of London relocation and the Salisbury Square Development project).

89.0 **Projects and operational estate:** Although the capital programme is substantial, the inclusion of 50% optimism bias for major programmes gives confidence in the adequacy of budgets. Delivery and affordability risks persist given scale and timing, but are well understood and governance arrangements are strong, with gateway controls and affordability checks. Additionally, provision has been made to support the forward plan of cyclical works on operational properties through reprioritisation of reserves, provision has been included to support the first phase of the Barbican renewal works. However, the full cost of essential works at the Barbican Centre exceeds current estimates and therefore requires a fundamental review on how to meet the extensive refurbishment needs at the Barbican Centre supported by a 10-year business plan/operating model. I am satisfied that appropriate provision has been made across the short term and medium term. Over the longer term, a different approach is required to ensure the Corporation can meet the costs of its operational estate with recommendations provided in the main report.

90.0 **Tax and income levers:** The budget assumes **Council Tax +4.99%** (2% ASC, 2.99% core) and **+1.0p Business Rates Premium (BRP)**, with **0.4p** earmarked for **FPEP and security** and the remainder for daytime population services; each

0.1p equate to £2.1m. These are reasonable and validated in the working papers referenced in the report.

Recognition of key risks

91.0 **Uncertainty in core funding:** The **Final Local Government Settlement** provides a three-year **transitional funding** profile (confirmed for 2026/27, indicative thereafter). The MTFP prudently ringfences transitional funding to national, pan-London and daytime population cost pressures and proposes transfer of balances to a **Transitional Funding Reserve**. This approach is appropriate but time limited and **does not remove the structural gap in core funding** post 2028/29. **Underlying service gap** (excluding transitional funding and or I&E reserves) begins c. **£13m in 2027/28**, rising to **£23m by 2029/30**, requiring savings of that order, alongside the targeted application of both income sources and use of Transitional Funding Reserves.

92.0 A **larger step change risk from 2029/30** remains if national, pan-London responsibilities (c**£39m p.a.**) are not sustainably grant funded and as retained growth and resets in the business rates system reprofile funding.

93.0 **Police settlement and national roles:** The **2026/27 police settlement** provides partial relief (incl. **NPG**) but is frontloaded; grant confirmation for national responsibilities (fraud/economic/cyber) remains uncertain.

Adequacy of Reserves

94.0 **Five year position and use of reserves:** The plan balances "one year with the next", resulting in a **net £28.9m surplus** over the MTFP after proposed applications (Table 1), supported by managed drawdowns and earmarking across working capital, business rates risk, transitional, operational property, CWP, and I&E reserves. This **provides short term resilience in 2026/27–2028/29** but **useable reserves reduce materially by 2029/30**, increasing exposure thereafter.

95.0 **Reserves adequacy and trajectory: General Fund Balance** maintained at **£20m** for working capital is **appropriate as a minimum** given volatility. Earmarked reserves stand at £258m (as shown in table 1) and are **carefully purposed**; however, **aggregate usable reserves are forecast to decline materially over the MTFP**, limiting capacity to absorb new shocks, especially beyond 2028/29. Based on the latest published CIPFA resilience index findings, the Corporation's reserve balances are c30% higher than the top London borough.

96.0 **HRA fragility:** The **HRA remains financially fragile**, dependent on delivery/occupation of new units and facing compliance pressures. The in-year position (2025/26) has required continual action to remain balanced. Over previous years, reserves have been depleted to fund necessary improvement works and until additional properties being completed as part of new developments, the financial position is extremely fragile. Further delays in the

occupation of the new developments would significantly worsen the outlook and a multi-departmental team reviews progress regularly to mitigate the risk. Further costs arising from new regulatory health and safety compliance pressures or loss of income in the coming years cannot be absorbed within the existing HRA funding envelope. Consequently, an **Exceptional Financial Support (EFS)** request of **£2.6m** for **2026/27** is submitted to MHCLG; failure or delay would **materially worsen the outlook**.

Required management actions and assurances - In giving this opinion, I am relying on the following controls through the period:

- **Strict discipline of transitional funding:** Use **only** to address national, pan-London and daytime population gaps, with **uncommitted balances transferred** to the Transitional Funding Reserve; **no new recurrent commitments** against these funds.
- **Savings and transformation delivery: Deliver £13m by 2027/28. Plan for c£18m by 2028/29 and c£23m by 2029/30** on the **re-baselined corporate approach** to prioritisation/governance; report progress and corrective actions quarterly.
- **Continuation of workstreams within the transformation programme** will realign existing resources to new corporate priorities, where this is not possible to create headroom to reallocate funds through income generation – noting finding sustainable efficiencies will require time, capacity and upfront investment which has been requested under one-off measures.
- **BRP governance and earmarking:** Maintain the **0.4p allocation** (0.3p FPEP; 0.1p security) and apply remaining BRP to daytime population services as set out; monitor receipts vs assumptions (0.1p = £2.1m) and adjust applications/reserves accordingly.
- **Reserve safeguards:** Retain **General Fund Balance at £20m and** deploying earmarked reserves only in accordance with their purpose.
- **HRA recovery oversight:** Track capital programme and new unit delivery and occupancy milestones; escalate mitigations if income or cost assumptions slip. Robust spend controls.
- **Major projects control:** Retain gateway controls and affordability checks; continue to **deploy BRP** to qualifying Court security costs.
- **Scenario and stress testing:** Update key assumptions for: (i) transitional allocations variance, (ii) business rates reset/growth risk, (iii) inflation and (iv) capital/cashflow timing; bring back **early corrective options** this year and pre2027/28.

97.0 **On this basis, whilst the Chamberlain has confirmed that the estimates for 2026/27 are robust and that reserves and contingencies are adequate for the forthcoming year, the HRA reserves are extremely low and there is key dependency of the success of the HRA recovery plan to avoid**

breaching statutory fiscal duties. She also draws Members' attention to the **material core government funding risk** from **2029/30**—and the consequent need to **deliver the savings/ transformation programme at pace**, **maintain reserve discipline**, and **secure sustainable funding for national and pan-London responsibilities**.

Key risks and uncertainties

98.0 Fundamental uncertainty regarding central government funding – Fundamental uncertainty on core funding from 2029/30.

99.0 Climate Action – with the current budget envelope expiring at the end of 2026/27, additional funding will be required to support delivery of the 2040 net zero and climate resilience targets between 2027/28 and 2039/40. A paper was endorsed by Policy & Resources Committee in January 2025 to develop the next evolution of the Climate Action Strategy. Following further iterations, costed options for the future strategy are to be to Committee in Spring 2026 with estimates between £6m - 10m annually up to 2033.

100.0 Inflation and interest rates – inflation has reduced from the peaks over 10% but has still remained above the government's target of 2%. Interest rates have been cut during 2025 but no significant further reductions are expected. Despite this, the impact of previous inflation remains significant and future projections need to be considered carefully.

101.0 Collection Fund surplus/deficit timing – The Collection Fund is the mechanism by which Council Tax and Business Rates income is collected and processed through the City Fund accounts. The timing of when changes in collection rates, provisions and appeals can make the amounts flowing through the revenue budget fluctuate significantly. The proposed changes to Business rates make forecasting these income streams very difficult on a year-by-year basis. Work is ongoing with external partners to ensure forecasts are as accurate as possible and updated where new information comes available.

102.0 ERP implementation – The Corporation must adopt best practice processes. Key benefits are to support a more mobile workforce; automate processes and introduce AI capabilities through a modern platform; provide direct access to staff and free up strategic capacity; provide a single source of the truth with enhanced analytics. The first modules of the new system have now gone live with more planned during 2026. If the Corporation fails to adopt to new ways of working the consequence will be that the current manually intensive processes with inbuilt failure demand will continue and the directly planned benefits of £600k pa (which are planned to commence in 2026/27 full finance go live) will not be realised in additional to impact the wider organisation transformation planned benefits of £500k p.a.

103.0 Ongoing asset maintenance – In addition to the current Cyclical Works Programme, significant future costs are projected in maintaining the Corporation's property portfolio. A review of the long-term needs for the operational property estate has identified c£1.7bn of required investment

across City Fund, against a net asset position of c£2.4bn (as at 31 March 2025). The scale and cost of the operational property estate raise fundamental questions about which services the Corporation should continue to deliver and which assets are strategically essential, versus those that may no longer align with future priorities. This will need to be reviewed together with the activity analysis that is being prepared. Resource Allocation Sub Committee and Policy and Resources Committee will be asked to guide the strategic direction of the estate and establish principles for retention, renewal, or disposal, all of which will inevitably depend on defining the funding strategy.

104.0 In addition to this extreme uncertainty around ongoing funding, City Fund also faces challenges in accommodating on-going pressures, particularly with the deficit pressure in 2027/28 being imminent.

Equalities Implications

105.0 During the preparation of this report, all Chief Officers were asked to consider and will be confirmed at this meeting of any potential adverse impact of the various budget policy proposals on equality of service. This was with particular regard to service provision and delivery that affects people, or groups of people, in respect of disability, gender and racial equality.

Conclusion

106.0 There is fundamental uncertainty in core funding from 2029/30 onwards which the City Corporation needs to address. This will require both political advocacy for appropriate funding levels for the statutory services that are provided for London and nation, and a radical approach to the services that the City Corporation provides from its local government fund. The key immediate risk remains the fragility of the HRA and the Chamberlain's s25 report highlights the key dependency on the HRA recovery plan and approval of the EFS application in compliance with regulations.

107.0 Decisions are required as to the approach to addressing the projected future cyclical works and forward plan on our operational properties following the resolution of the backlog of maintenance work.

108.0 The scale of the ambition, within City Fund Major Projects in particular continues to put significant pressure on resources and work to ensure programmes deliver longer term benefits and financial sustainability are key.

Appendices

- Appendix A – Key Assumptions
- Appendix B – Calculating Council Tax
- Appendix C – City Fund Useable Reserves

- Appendix D – Prudential Indicators
- Appendix E – Treasury Management Strategy Statement and Annual Investment Strategy 2024/25
- Appendix F – Capital Strategy
- Appendix G – City Fund Budget Policy
- Appendix H – Review of contingency funds
- Appendix I – Court Resolution
- Appendix J – Explanatory Note on the City's Bespoke Funding Agreement

All of which we submit to the judgement of this Honourable Court.

DATED this 17th day of February 2026.

SIGNED on behalf of the Committee.

Deputy Henry Nicholas Almroth Colthurst
Chairman, Finance Committee